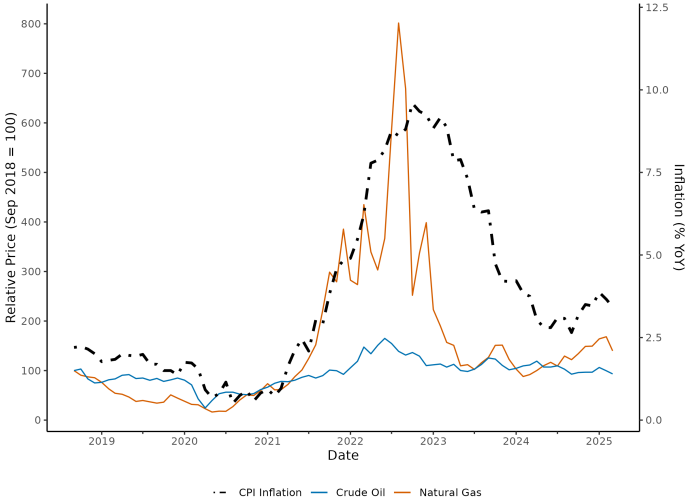
Inflation Persistence After an Energy-Price Shock



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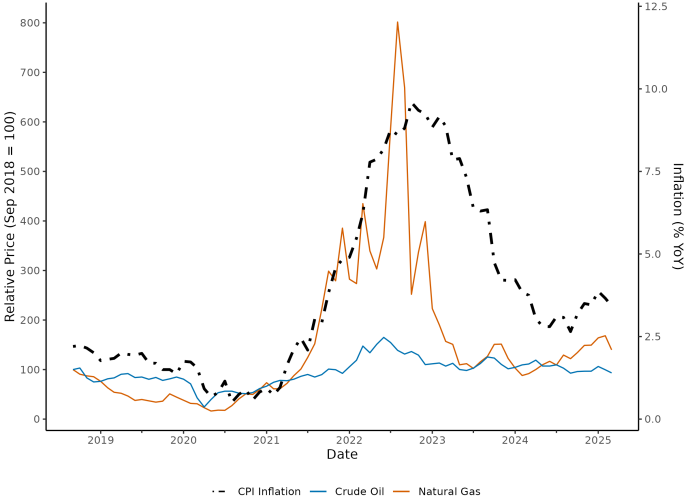

Puzzle: The vanilla New Keynesian model *fails* to replicate the inflation persistence

Three Extensions to Generate Inflation Persistence

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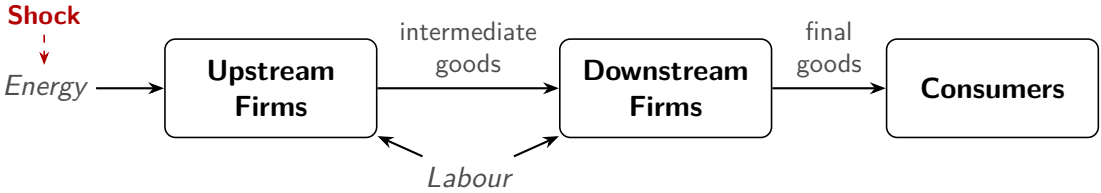

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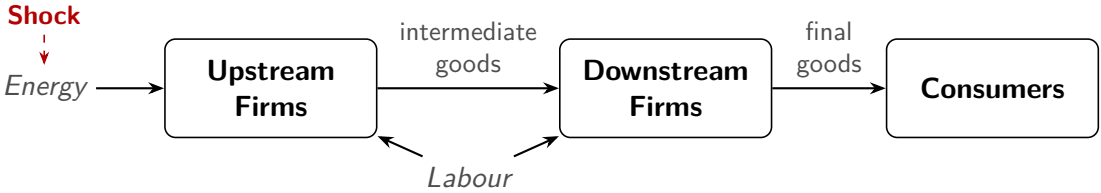

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- Difficult to forecast future prices of intermediate goods
  - In pricing decisions, place more weight on current costs than future expectations

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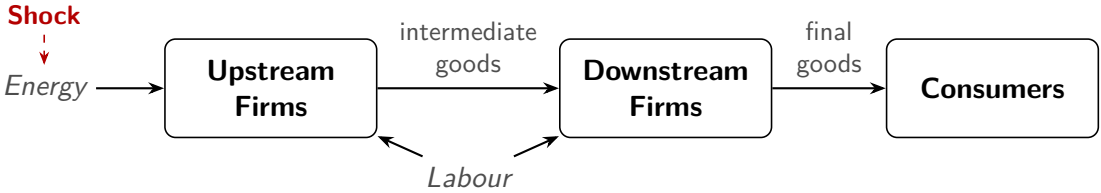

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3. **Real Wage Rigidity** in the Labour Market (Blanchard & Galí 2007 JMCB)

- Wages adjust slowly to productivity changes due to frictions in the labour market

Results

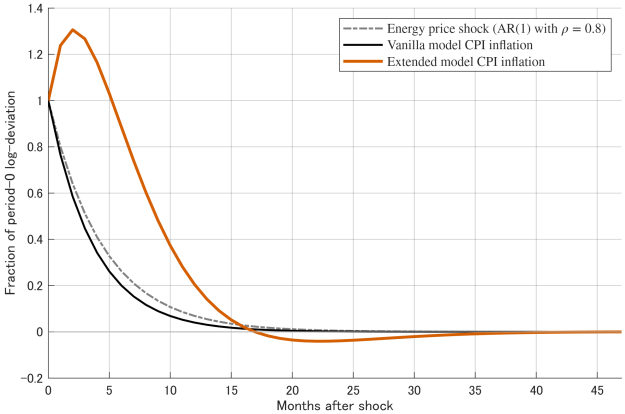

Figure 1: Inflation Persistence vs Energy Price Shock Decay

- Three-month lag in the peak inflation response + persistence